Senate race still too close for comfort for Democrats

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Treasury's inclusion of biotechnology in COINS likely to spare most industry deals
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Defense Production Act invocation unlikely to significantly impact petroleum production

Senate race still too close for comfort for Democrats. The topline national environment shifted slightly in Democrats' favor this week, with their lead in the registered-voter version of Silver Bulletin's generic-ballot average now standing at 9.2 points, the highest it's been all year. In the same vein, President Donald Trump's approval rating fell further, to 36.5%, with a net approval of -24%.

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These are eye-wateringly bad numbers for Trump and national Republicans, and they affirm our views that Democrats are nearly certain to flip the House (90% odds) with a comfortable majority exceeding 20 seats.
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But in the Senate, we're maintaining our view that Democrats are just the moderate favorites. This week's Senate polling does not point to anything like the House odds in the Senate. Based on this week's numbers, Democrats are the clear favorites, but it wouldn't be shocking to see Republicans hold on, just barely.

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Democrats do lead in enough races to win a 55-seat majority, with Nebraska now leaning ever-so-slightly Democratic, but five of those leads are smaller than two points. This is well within the range of a normal-sized polling error, even one considerably smaller than in the last two presidential cycles.
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The best argument that Democrats will indeed win a majority is that polls didn't have meaningful bias against Republicans in the last two midterm cycles, when Trump wasn't on the ballot. We do ascribe to that view, but the risk for Democrats is that even a polling performance that is, by historical standards, quite good would see them just barely fall short of a majority.

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Among the Republican held-seats, a clear hierarchy is emerging. Alaska and Ohio have now look like the most likely Democratic flips. Sherrod Brown in particular has had a run of very strong polls in Ohio, and in both states Democrats are the narrow gubernatorial favorites as well. Along with North Carolina, this would put Democrats on 50 seats if they lose nowhere else.

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Maine and Texas are both in the small-but-durable lead range and will probably be close results no matter the winner. Either of these looks like a plausible tipping-point.

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Meanwhile, the three Plains states—Iowa, Kansas, Nebraska—would be icing on the cake, and likely have the highest risk of polls overstating the Democratic vote share there, especially given the recent history of significant polling misses against Republicans in Iowa and Nebraska in 2024.

Treasury's inclusion of biotechnology in COINS likely to spare most industry deals. Treasury's Notice of Proposed Rulemaking (NPRM) for the Comprehensive Outbound Investment National Security Act (COINS) added biotechnology to the covered outbound investment screening areas. However, several questions remain about the scope of restrictions, likelihood of adjustment upon industry feedback, and Beijing's probable response.

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The rulemaking process for COINS is not complete, and the current comment period is a critical window for industry. Treasury has yet to finalize its definitions; the NPRM explicitly asked for industry feedback regarding the scope of restrictions, likely burdens of compliance, and alternative measures to be considered. Comments are due by 7 December.

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The proposed rule would prohibit US multinationals' (MNCs) acquisition of biotech firms in countries of concern—Republic of Cuba, the Islamic Republic of Iran, the Democratic People's Republic of Korea, the Russian Federation, and the Bolivarian Republic of Venezuela under the regime of Nicolás Maduro Moros—as well as in-licensing deals that include equity stakes in entities in those countries. Treasury has indicated that in-licensing deals that don't involve an equity stake would be exempted; the majority of deals inked by MNCs over the past few years would be unaffected, but ambiguity remains about the definition of "joint venture" and other key provisions that could affect future deals.

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Beijing had unveiled its own export restrictions on key technologies on 16 October, pursuing a similar line of restrictions by permitting product-level licensing but restricting platform-level IP transfers, although the proposed US rules would cover a much broader set of technologies and would prevent capital influx from US investors to Chinese biotech companies. Beijing issued a measured response to the US NPRM, likely reflecting uncertainty about the ultimate impact and expectation that US industry and investor pushback will result in reduced scope.

Defense Production Act invocation unlikely to significantly impact petroleum production. Trump issued a presidential memorandum waiving certain provisions under Section 303 of the Defense Production Act, enabling Secretary Pete Hegseth to use funds to support domestic petroleum production.

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The waiver enables Hegseth to make financial commitments to help projects build faster while bypassing certain project review requirements.

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Subsidies to US refining have historically taken years to meaningfully increase output, and project approvals issued under the DPA may not prove durable in 2029 and beyond. The announcement was intended to assuage voters' anxieties related to fuel prices ahead of the midterms rather than deliver substantial benefit to industry in the near term.

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Fuel and energy security have been a leading focus at the Pentagon, and these new DPA authorities may support other Pentagon programs. The newly proposed FORTRESS America initiative, which aims to secure energy independence and fill fuel stockpiles at US military installations, will likely use DPA as the spending authority to build out the program and bypass normal procurement rules.

Quote of the Day

"I want you to record that I am laughing out loud about that. That is nonsense." - House Speaker Mike Johnson (R-LA) speaking to Punchbowl about reporting that Democrats expect a 230-seat House majority in the next Congress. Our most likely scenario is that Democrats win 20 or more House seats in next month's elections (40% odds, see Polling gains boost Democratic odds in House and Senate , 6 October 2026), which would give them at least a 234-seat majority.

On the Radar

30-31 October: G20 Foreign Ministers' meeting

3 November: National midterm elections

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

10 January: US-China tariff truce expires

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